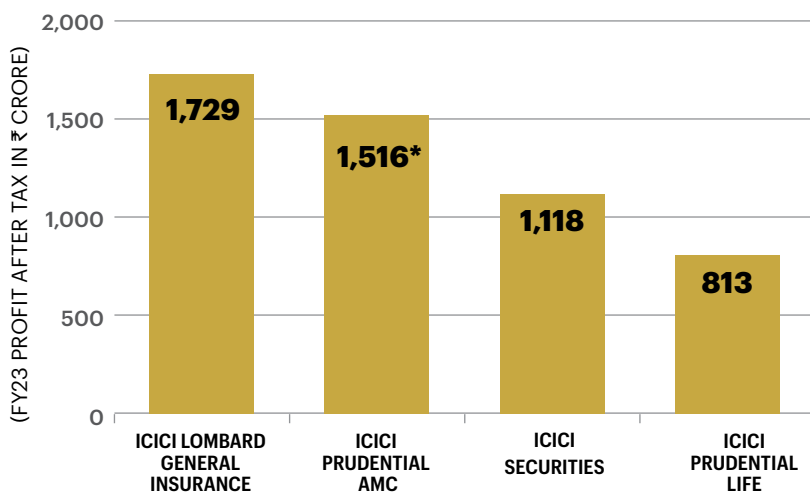


THRIVING NON-BANK PLAY

➤ ICICI Bank's diversification—to the profitable non-banking businesses that don't require any capital from the banking entity—has paid off ➤ Potential for growth in highly under-penetrated insurance, mutual fund and equity businesses



FOR NON-BANKING BUSINESSES **SOURCE** ACE EQUITY, *ICICI BANK PRESENTATION

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to corporates and their ecosystem like channel partners, dealers, vendors, employees and other stakeholders, thus taking the full bank to the customer. Currently, corporate has a share of 22 per cent in the bank's loan book. While the bank has ICICISStack for large corporate clients, it also has various ecosystems, including the defence ecosystem, start-up ecosystem, pharmaceutical ecosystem, IT ecosystem, education ecosystem, healthcare ecosystem, NRI ecosystem, and real estate ecosystem, where it takes a fully integrated approach. For instance, consider the bank's recent launch of a comprehensive range of digital and physical solutions tailored to meet all the banking requirements of start-ups this March. This offering assists start-ups at various stages of their journey, offering treasury and transaction banking solutions, lending solutions, digital integra-

tion, management of FDI and regulatory compliance, and personal banking services for both employees and founders. It provides innovative solutions through its domestic and international networks, including its branch at international finance centre GIFT City, and IT services hubs in Gujarat. It has established a dedicated team for start-ups, serving them through an extensive branch network. Similarly, much like its micro-market strategy, there is a central team that comprehensively understands these ecosystems and empowers local teams to execute them with the necessary inputs.

INTERNAL COLLABORATION

Bakhshi insists on internal collaboration, which basically means better coordination among teams on the ground and the head office or the product heads. The bank also has key external partnerships

with Amazon, MakeMyTrip and Emirates to offer co-branded credit cards. Amazon Pay credit cards continued to see healthy traction, with over 4 million credit cards issued till September 2023.

Brokerage firm Emkay, in its report, has said that it takes comfort from the strong leadership back-up at the bank. "We are hopeful that the bank remains adaptive to limit unwarranted attrition and business dislocation, as it aspires to build up into a 'sustainable and profitable bank' in the long run," it states.

Shreyansh Shah, Research Analyst at stockbroking platform Stox-Box, says that ICICI Bank's focus on rural lending, "with the opportunity of cross-selling the products through a vast network of branches, ATMs, and cash recycling machines" will help it to continue reporting solid profits going forward.

Over the past few years, the bank has shifted gears and become a retail-focussed institution. Like other banks, the high growth in unsecured books is contributing to growth in retail banking. Currently, the share of unsecured loans is around 13 per cent in the overall book. "There is a demand for unsecured loans. We are ready to extend loans if we can evaluate the creditworthiness of the borrower and ensure there is no excessive leverage," explains Batra. In fact, he adds, that the "return of capital" is more important than the return on capital. "If you lose ₹100 to earn ₹3 (representing a 3 per cent net return that banks receive, with ₹100 as the principal), that's not a wise decision," he says with a chuckle.

That's the mantra Bakhshi is drilling into his 140,000-strong workforce: the importance of building a sustainable business strategy and an organisation that can stand the test of time. **BT**

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